



Colombia



Overview: In Colombia, it is necessary to consider whether marketing/selling activities trigger firm requirements as well as public offering requirements. Depending on the particular activities, it may be possible to conduct certain limited general marketing activities without triggering these requirements.

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Funds: Marketing/selling of funds is permitted in response to a reverse enquiry without triggering firm level restrictions, provided certain conditions are met.

Active marketing/selling is likely to trigger firm level requirements and the firm will need to enter into a Correspondent Agreement or set up a Representative Office, unless the Certain Entities Exemption applies. In practice, this exemption is quite narrow. Both of the Correspondent Agreement and Representative Office options require prior authorisation from the SFC, although there is no need to set up a permanent local presence in either case.

Marketing/selling of funds will also trigger the public offering requirements, unless the activities are conducted in accordance with the Private Offering Exemption.

Investment Management & Advisory Services (IMAS): Marketing/provision of IMAS (execution of orders on behalf of clients, arranging, investment advice and portfolio management) is permitted in response to a reverse enquiry without triggering restrictions, provided certain conditions are met.

Active marketing/provision of IMAS is likely to trigger firm level requirements and the firm will need to enter into a Correspondent Agreement or set up a Representative Office, unless the Certain Entities Exemption applies. Where the IMAS relates to securities registered in the RNVE, this can only be marketed by a locally licensed intermediary (i.e. a local securities intermediary). Where securities registered in the RNVE are marketed by a locally licensed intermediary, the firm level requirement will not apply.

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The following activities are permitted without triggering restrictions:

- attending or speaking at a finance related event to discuss general trends/themes;
- distribution of business cards; and
- socialising with prospective investors.

Care should be taken that there is no mention of specific funds or services offered by the firm. No marketing should be conducted by the firm at the finance related event.



The following activities are likely to trigger restrictions:

- brand awareness;
- providing general information about the firm;
- product/service line awareness;
- publishing articles/giving interviews e.g. thought leadership pieces or macroneconomic analysis; and
- activities referring to an investment strategy/particular characteristics.

It may still be possible to conduct the activity where one of the exemptions/routes discussed in *Active Marketing/Selling of Funds* below applies, although this will likely require the firm to set up a Representative Office or enter into a Correspondent Agreement.

Passive Marketing/Selling (Reverse Enquiry)



Funds and IMAS: Straightforward but care should be taken on how activity structured

Responding to a reverse enquiry should be permitted without triggering the Colombian Offshore Marketing Regime provided the firm is acting in accordance with the following **Conditions for Permitted Reverse Enquiry**:

- the Colombian resident has initially contacted the firm to obtain information about its products or services;
- the commercial relationship has been initiated at the request or by the initiative of the Colombian resident; and
- the firm has not previously promoted or advertised (personally or by any means, either *en masse* or individually) the fund or IMAS which is subject to the specific enquiry. Note that this does not prevent the firm from having had a previous relationship with the Colombian resident.

It is possible for the firm to discuss or refer to the possibility of an investor increasing its investment in a product or service in which it invested/engaged on the basis of a reverse enquiry. The firm should not refer to other products or services that the investor could invest in but about which the investor has not approached the firm. This exemption can only be used to promote specific funds or IMAS which the Colombian resident has specifically asked for information about.

It is recommended requesting that the client signs a letter stating that all conditions for this reverse enquiry exemption were met and that no active advertising or promotion efforts from the OFI induced them to request information about its products or services. It is permitted to use a standard form template provided that the firm complies with the conditions for the Reverse Enquiry Exemption.

In addition, with respect to funds, responding to a reverse enquiry should be structured so as to fall within the Private Offering Exemption so as not to trigger the Public Offering of Securities Restriction (see *Active Marketing/Selling of Funds* below).

Pre-Marketing of Funds



- Challenging as will likely need to appoint a local correspondent or set up a representative office

There is no separate position that applies to pre-marketing. The analysis applicable to Active Marketing/Selling of Funds below therefore also applies. This means that restricting activities to preliminary pre-marketing does not represent a route to test investor interest before committing to the appointment of a local correspondent or setting up a representative office. In practice, the Certain Entities Exemption is also quite limited in its scope.

Active Marketing/Selling of Funds



- Workable depending on how activity structured but will likely need to appoint a local correspondent or set up a representative office

There are two main restrictions to consider:

1. Colombian Offshore Marketing Regime

Marketing/selling a fund to investors in Colombia will require the firm to:

- set up a Representative Office;
- enter into a Correspondent Agreement; or
- fall within the Certain Entities Exemption.

Both of the Correspondent Agreement and Representative Office options require the prior authorisation of the arrangement from the SFC. The licensing procedure for setting up a Representative Office can take 8 - 10 months and approval of a Correspondent Agreement takes between 3 – 6 months, once the documentation is furnished to the SFC. See section 10(c) of the Memorandum for the various requirements and documents needed to obtain SFC approval, ongoing filing requirements and for limitations on the types of activities that the Representative Office or local correspondent are permitted to carry out.

- Representative Office:** A representative office requires a licence issued to the firm by the SFC. No permanent presence is required when establishing a representative office in Colombia. Most representative offices have their representatives fly in and out, rather than permanently reside in Colombia, however some do have permanent people on the ground in Colombia. It is necessary for a Representative Office to have a registered domicile (i.e. local address) in Colombia. There are various other requirements and limitations set out in section 10(c) of the Memorandum, as well as content requirements in section 8.1(c). This includes a requirement for the SFC to approve the initial promotional and/or advertising programme. Please see section 8.7 for more information.
- Correspondent Agreement:** An agreement entered into with an SFC-approved Colombian stock broker-dealer or a financial corporation pursuant to which the Colombian stock broker-dealer or a financial corporation promotes the funds or IMAS on the firm's behalf and in compliance with local law and regulation. This arrangement requires the approval of the SFC.

- **Certain Entities Exemption:** Certain foreign financial institutions are exempt from the Colombian Offshore Marketing Regime. Examples include:
 - international development agencies;
 - foreign entities arranging government-to-government financings;
 - entities participating in syndicated loans but not as administrative or leader agents of the loan;
 - entities seeking to grant financings to Colombian foreign exchange intermediaries with the purpose of funding the transactions and operations authorised to them in such capacity, and provided that the activities carried out are limited to promotions or advertisements of the financings to be offered to such foreign exchange intermediaries; and
 - foreign subsidiaries and agencies of Colombian financial or securities market entities.

Qualifying conditions apply. For further detail please refer to section 6.2(d) of the Memorandum. In practice this is quite a narrow exemption.

2. Public Offering of Securities Restriction

Marketing/selling of securities (including interests in a fund) which amounts to a public offer requires:

- the prior approval of the SFC. This would include a fund obtaining Foreign Fund Approval, although local counsel have advised that currently no funds that have obtained Foreign Fund Approval are offered; and
- if the interests are to be negotiated (i.e. the selling or purchase of securities in the exchange market) or listed in Colombia, they have to be registered in the RNVE and can only be offered by local securities intermediaries (i.e., local stockbroker dealers),

unless the Private Offering Exemption applies.

- **Foreign Fund Approval:** a foreign fund must meet the following requirements:
 - the fund must have been authorised by its local regulatory authority;
 - the SFC must have entered into a memorandum of understanding or information exchange agreement with such local authority;
 - the local regulatory authority must oversee the fund's manager;
 - the fund must have segregation policies and standards in order to keep its assets separate from those belonging to the fund's manager and other funds it manages;
 - the fund must have policies and standards to inform investors of e.g.: the fund's objectives and investment policy, risk profile and expected yield, costs, historic performance and manager's contact details;
 - the fund must have a custodian, overseen by the local regulatory authority, independent from the fund's manager; and
 - the fund shall not execute leveraged operations.
- **Private Offering Exemption:** an exemption for offers to a determined number of people not exceeding 99 (regardless of the type of investor, such as high-end individuals or professional investors, or whether the investor is an existing or potential investor). A disclaimer is recommended.



Mutual Recognition Schemes:

- **Pacific Alliance:** Colombia has entered into the Pacific Alliance along with Mexico, Chile and Peru. In 2017, these countries executed a declaration with the intention to implement a "Funds Passport". To date, this Funds Passport has not been implemented in Colombia.

- **MILA Arrangement:** Arrangement among the Lima, Santiago, Colombia and Mexican Stock Exchanges pursuant to which investors and brokers from MILA countries can purchase and sell securities (which includes funds) from stock exchanges of those countries through a local broker.

Active Marketing/Provision of IMAS



 Workable but will likely need to appoint a local correspondent or set up a representative office

Marketing/provision of IMAS is subject to the Colombian Offshore Marketing Regime and the firm will generally be required to set up a Representative Office or, where the IMAS relates to securities, enter into a Correspondent Agreement, unless it falls within the Certain Entities Exemption. See *Active Marketing/Selling of Funds* above for further details. Due to the limitations on the permitted activities of a Representative Office or a local stockbroker-dealer via a Correspondent Agreement, provision of IMAS can only be carried out by the firm.

In addition, note that IMAS relating to securities registered in the RNVE can only be marketed by a locally licensed intermediary (i.e. a local securities intermediary).

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking.

Additional Considerations



Intermediaries

An intermediary is not required to avoid triggering the Colombian Offshore Marketing Regime where the firm can rely on the Certain Entities Exemption or sets up a Representative Office. However, where using the Correspondent Agreement route, the firm is required to enter into an arrangement with a local intermediary.

In addition, only a locally licensed intermediary (i.e. a local securities intermediary) can market any securities registered in the RNVE or IMAS in relation to such securities.

Fly-in meetings

Fly-in meetings are permitted where acting within scope of an available exemption/route or in response to a reverse enquiry. It may also be possible for a sub-advisor/manager to attend meetings with a locally licensed entity, where it is made clear that the firm is not permitted to conduct investment business locally.